



SKY HIGH

Financial Management

Payroll Compliance Checklist

Introduction

Managing payroll correctly is an important responsibility for Canadian employers. Payroll involves more than paying employees — employers must calculate deductions accurately, remit amounts to the Canada Revenue Agency (CRA), maintain proper records, and meet reporting deadlines.

This checklist helps employers organize their payroll responsibilities and maintain compliance.

1. Set Up Your Payroll Account

- ☐ Determine if you need a CRA payroll program account
- ☐ Register for a payroll account with the CRA (if required)
- ☐ Confirm your:
 - Business Number (BN)
 - Payroll account number
 - Remittance schedule
- ☐ Set up access to CRA My Business Account

2. Collect Employee Information

- ☐ Obtain required employee information:
 - Legal name
 - Address
 - Social Insurance Number (SIN)
 - Employment start date
- ☐ Collect completed forms:
 - TD1 Personal Tax Credits Return
 - Provincial TD1 forms (if applicable)
- ☐ Maintain employee records securely.

3. Establish Payroll Procedures

- ☐ Determine payroll frequency:
 - Weekly
 - Bi-weekly
 - Semi-monthly
 - Monthly
- ☐ Set up payroll software or payroll process
- ☐ Establish procedures for:
 - Time tracking
 - Vacation pay
 - Overtime
 - Bonuses
 - Benefits
 - Expense reimbursements

4. Calculate Employee Payroll Correctly

- ☐ Calculate gross wages
- ☐ Apply required deductions:
 - Canada Pension Plan (CPP)
 - Employment Insurance (EI)
 - Income tax
- ☐ Calculate employer contributions:
 - CPP employer portion
 - EI employer portion
- ☐ Review payroll calculations before processing payments.

5. Process Payroll Payments

- ☐ Issue employee payments on schedule
- ☐ Provide pay statements showing:
 - Gross earnings
 - Deductions
 - Net pay
 - Employer information
- ☐ Maintain payroll payment records.

6. Remit Payroll Deductions to CRA

- ☐ Determine your CRA remitter type:
 - Regular remitter
 - Accelerated remitter (if applicable)
- ☐ Remit payroll deductions according to your assigned schedule
- ☐ Confirm payments are received by CRA
- ☐ Keep proof of remittances
- ☐ Avoid late payments that may result in penalties.

7. Manage Employee Changes

- ☐ Update payroll information when employees:
 - Start employment
 - Leave employment
 - Receive salary changes
 - Change benefits
 - Change personal information
- ☐ Process final payments correctly.
- ☐ Prepare Records of Employment (ROE) when required.

8. Maintain Payroll Records

- ☐ Keep payroll records including:
 - Employee information
 - Pay statements
 - Payroll calculations
 - Hours worked
 - Vacation records
 - Benefits information
 - CRA remittance confirmations
- ☐ Keep records organized and accessible.
- ☐ Protect confidential employee information.

9. Year-End Payroll Requirements

- ☐ Review annual payroll records
- ☐ Prepare:
 - T4 slips
 - T4 Summary
 - T4 information return
- ☐ Provide employee copies of T4 slips
- ☐ Verify payroll information before filing
- ☐ Keep copies of all submitted documents.

10. Payroll for Business Owners and Shareholders

- ☐ Determine whether owners receive:
 - Salary
 - Bonuses
 - Dividends
 - Draws (depending on business structure)
- ☐ Review payroll tax implications before making decisions
- ☐ Maintain proper documentation for shareholder compensation.

11. Review Payroll Compliance Regularly

- ☐ Confirm payroll deductions are accurate
- ☐ Review CRA payroll account balances
- ☐ Check employee records are complete
- ☐ Update payroll procedures when regulations change
- ☐ Review payroll costs as part of business planning

12. Common Payroll Mistakes to Avoid

- ☐ Paying employees without proper payroll calculations
- ☐ Not registering a CRA payroll account when required
- ☐ Incorrect CPP/EI/tax deductions
- ☐ Missing payroll remittance deadlines
- ☐ Not keeping employee records
- ☐ Forgetting T4 filing requirements
- ☐ Mixing personal and business payments

13. Payroll Document Checklist

Before processing payroll, confirm you have:

- ☐ Employee information
- ☐ TD1 forms
- ☐ Payroll records
- ☐ Time sheets
- ☐ Salary agreements
- ☐ Benefit information
- ☐ Previous payroll reports
- ☐ CRA remittance information
- ☐ T4 records (year-end)

14. Payroll Calendar Checklist

Example:

Every Pay Period

- Process payroll
- Review deductions
- Issue employee payments

Monthly

- Review payroll liabilities
- Confirm CRA remittances

Year-End

- Prepare T4 slips
- Review payroll records
- Complete information returns

Final Reminder

Accurate payroll management protects your business, supports your employees, and helps you remain compliant with CRA requirements.

A reliable payroll process reduces errors, saves time, and allows business owners to focus on growing their business.



Sky High Financial Management

Payroll Processing • Payroll Compliance • T4 Preparation • Accounting • CRA Report
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